



NORRIS TRAINING SYSTEMS

**Book #2
Revision 2024**

PROPERTY & CASUALTY TRAINING MANUAL

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Kansas Property & Casualty and Allied Lines
Producer Examination

Exam Result: PASS

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Passing Score	98	Your Score	115 (82%)	Result	PASS
Content Area	Number Correct	Total Possible	Percent Correct		
I. Types of policies	20	25	80%		
II. Insurance terms and related concepts	12	14	86%		
III. Policy provisions and contract law	10	11	91%		
IV. Types of policies, bonds, and related terms	18	25	72%		
V. Insurance terms and related concepts	12	14	86%		
VI. Policy provisions	9	11	82%		
KS Common - Statutes, Rules	17	19	89%		
KS Property, Casualty - Statutes, Rules	5	7	71%		
KS Property - Statutes, Rules	6	7	86%		
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Totals (Scoreable)	115	140	82%		

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NORRIS TRAINING SYSTEMS

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TEST BREAKDOWN

PROPERTY, CASUALTY & ALLIED LINES

P&C - 140 Questions, 2 1/2-hour Time Limit
Single Lines - 84 Questions, 1 1/2-hour Time Limit

PROPERTY & CASUALTY

<u>SUBJECTS</u>	<u># OF ?'s</u>	<u>CHAPTER OR PAGE #</u>
I. Types of Property Policies (HO, DP, MH, CPP, BOP, Inland Marine, Flood, Others)	25	Pre-Study Guide & Pgs. 2.1-2.9, 5.1 - 5.4
II. Property Insurance Terms & Related Concepts	14	Pre-Study Guide & Pg. 1.1 -1.3
III. Property Policy Provisions & Contract Law	11	Pre-Study Guide & Pgs. 1.4 & 1.5, 1.6
IV. Types of Casualty Policies, Bonds & Related Terms (CGL, PAP, BAP, Garage Liability, Garage keepers, WC, Crime, Bonds, E&O, Umbrella)	25	Pgs. Chpts. 3 & 4
V. Casualty Insurance Terms & Related Concepts	14	Pre-Study Guide & Pgs. 1.7, 5.5 thru 5.8
VI. Casualty Policy Provisions	11	Pg. 1.8 - 1.9
Kansas Statutes, Rules & Regulations Common to Life, Health, Property & Casualty Insurance	19	Pre-Study Guide
Kansas Statutes, Rules & Regulations Common to Property & Casualty Insurance Only	7	Pre-Study Guide
Kansas Statutes, Rules & Regulations Pertinent to Property Insurance Only	7	Pre-Study Guide, Pg. 5.4
Kansas Statutes, Rules & Regulations Pertinent to Casualty Insurance Only	7	Pgs. 3.1-3.2 & 4.1-4.7

PROPERTY INSURANCE BASICS

PROPERTY INSURANCE IS COVERAGE THAT:

- PROTECTS YOU (THE INSURED) IF YOUR PROPERTY IS DAMAGED BY A “COVERED PERIL.”
- IS PRIMARILY USED TO COVER BUILDINGS AND CONTENTS.

NOTE: THE PROPERTY INSURANCE POLICY IS A TWO-PARTY CONTRACT. THE INSURED IS THE FIRST PARTY, AND THE INSURER IS THE SECOND PARTY. WHEN THE INSURED SUFFERS A “COVERED LOSS” (A LOSS CAUSED BY A COVERED PERIL), THE INSURER REIMBURSES THE INSURED FOR THE LOSS, UP TO THE LIMITS STATED ON THE DECLARATIONS PAGE.

IN OTHER WORDS, THE SECOND PARTY BECOMES LIABLE TO THE FIRST PARTY BECAUSE THE LOSS IS COVERED BY THE CONTRACT.

2 BASIC CATEGORIES FOR PROPERTY INSURANCE COVERAGES

SPECIFIED PERIL COVERAGE
 (“NAMED PERIL”)

COVERS ONLY THOSE
 PERILS NAMED OR
 LISTED IN THE POLICY

SPECIAL PERIL COVERAGE
 (“ALL RISK” OR “OPEN PERIL”)

WILL INSURE AGAINST RISK
 OF DIRECT PHYSICAL LOSS
 TO PROPERTY DESCRIBED.

SPECIFIED PERIL COVERAGE ("NAMED PERIL")

COVERS ONLY THOSE PERILS
NAMED OR LISTED IN THE POLICY

BASIC COVERAGE (BASIC CAUSE OF LOSS)

1. FIRE (UNFRIENDLY OR HOSTILE FIRES AND ALL RELATED DAMAGE)
2. LIGHTNING
3. INTERNAL EXPLOSION
4. WIND (INCLUDING TORNADO, HURRICANE AND STRAIGHT LINE)
5. HAIL
6. AIRCRAFT, MISSILES AND SPACECRAFT
7. RIOT, RIOT ATTENDING STRIKE AND CIVIL COMMOTION
8. VEHICLE DAMAGE
9. VOLCANIC ERUPTION
10. EXTERNAL EXPLOSION
11. SMOKE FROM VENTED HEATING OR COOKING UNIT.

STANDARD
FIRE
COVERAGE

"EXTENDED
COVERAGE"
ENDORSEMENT

ADDS:

WIND

HAIL

AIRCRAFT

RIOT

VEHICLES

& VOLCANOES

EXPLOSION

SMOKE
("WHARVES")

BROAD COVERAGE (BROAD CAUSE OF LOSS) (SAME AS BASIC FORM...)

1. FIRE (UNFRIENDLY OR HOSTILE FIRES AND ALL RELATED DAMAGE)
2. LIGHTNING
3. INTERNAL EXPLOSION
4. WIND (INCLUDING TORNADO, HURRICANE AND STRAIGHT LINE)
5. HAIL
6. AIRCRAFT, MISSILES AND SPACECRAFT
7. RIOT, RIOT ATTENDING STRIKE AND CIVIL COMMOTION
8. VEHICLE DAMAGE
9. VOLCANIC ERUPTION
10. EXTERNAL EXPLOSION
11. SMOKE FROM VENTED HEATING OR COOKING UNIT

...PLUS:

12. VANDALISM AND MALICIOUS MISCHIEF
13. WEIGHT OF ICE, SNOW OR SLEET
14. FALLING OBJECTS
15. ACCIDENTAL DISCHARGE OF WATER FROM APPLIANCE OR PLUMBING
16. FREEZING OF PIPES
17. SUDDEN AND ACCIDENTAL TEARING APART OF HEATING, AIR CONDITIONER OR WATER HEATER
18. DAMAGE BY ARTIFICIALLY GENERATED ELECTRICITY

A **NAMED** Peril policy **NAMES** the perils that are covered!

SPECIAL PERIL COVERAGE ("ALL RISK" OR "OPEN PERIL")

Will insure against risk of direct physical loss to property described. However, we will not insure against losses caused by:

- Freezing of plumbing if no effort to control heat or if vacant over a specified period of time.
- Freezing damage to fence, pavement & pools, etc.
- Theft in or to a building under construction until finished and occupied.
- Vandalism, malicious mischief and theft if vacant for a specified period. (60 days for personal and commercial property insurance.)
- Wear, tear, deterioration and defects.
- Inherent vice and mechanical breakdown.
- Smog, rust or other corrosion; mold, wet or dry rot.
- Smoke from agricultural smudging or industrial operations.
- Discharge of pollutants, unless caused by a covered peril.
- Settling, shrinking, bulging, etc. of buildings.
- Damage by birds, insects, rodents, vermin and animals owned or kept by the insured.

**A SPECIAL FORM NAMES THE
PERILS THAT AREN'T
COVERED!
(EXCLUSIONS)**

CATASTROPHIC PERILS EXCLUDED ON ALL FORMS:

- Earth movement.
- Common Power Failure - off premises power failure.
- Water Damage - flood, sewer backup & sump pump failure.
- Neglect or intentional acts.
- Nuclear hazards.
- War.
- Zoning Laws and Ordinances.
- Decisions or failure to decide by governmental bodies.

Flood can be purchased through the
Federal Government (NFIP)

Earthquake can be added in by endorsement. The coverage typically has a deductible ranging from 2-10% of the amount of coverage. The deductible will apply separately to each covered structure. Quakes and after-shocks within 72 hrs. are one quake (one occurrence).

TYPES OF PROPERTY NOT COVERED:

- Property specifically covered by other insurance.
- Aircraft (need to buy aircraft insurance).
- Vehicles licensed for road use.
- Property in which you have no insurable interest.
- Land.
- Damage to animals, birds, fish and rodents (unless they are inventory in a business.)
- Patios, pavement, etc. (basically any concrete other than a building structure.)
- Unrelated tenant's property (must buy their own policy).

POLICY PROVISIONS (CONDITIONS) USUALLY FOUND IN PROPERTY INSURANCE

GENERAL CONDITIONS/PROVISIONS

1. **POLICY PERIOD** - All losses must occur during the policy period stated on the declarations page.
2. **POLICY TERRITORY** - The area of coverage described in the policy. The territory varies from worldwide to the specific location of the property depending on the contract.
3. **CANCELLATION & NONRENEWAL** - Insurer must give a minimum of 10 days' notice for non-payment of premium and 30 days for all other reasons. The insurer can cancel for any reason during the first 60 days (90 days for commercial), afterwards can cancel for specified reasons only. The insurer must give a minimum of 30 days (60 days for comm.) notice for nonrenewal. The insured/first named insured can cancel at anytime in writing.
4. **DEDUCTIBLES (Self-insured retention)** - Standard dollar deductible is \$250. In the event of a "total loss" (loss is equal to or greater than the limits) the deductible is waived. Some deductibles are expressed as a percentage of insurance limits. i.e. 1%, 5%, etc.
5. **OTHER INSURANCE** - The following are methods used to determine how a claim will be paid in the event that "other insurance" exists.
 - Primary vs. Excess - The scheduled coverage is always primary and unscheduled coverage would be excess.
 - Pro-Rata - Insurers pay proportionately based on the percentage of coverage.
6. **MAXIMUM LIMITS OF LIABILITY** - Insured must prove insurable interest and company will not pay more than a limit stated in the policy.
7. **RESTORATION/NONREDUCTION OF LIMITS** - After a loss the limits will be restored for future losses.
8. **VACANCY OR UNOCCUPANCY** - No coverage for vandalism or theft if vacant for more than 60 days. No coverage for freezing damage to an unoccupied building if heat is not maintained. **Vacant: empty of both people and contents. Unoccupied: Absence of people only.**
9. **COINSURANCE (INSURANCE TO VALUE)** - Requires the insured to maintain a coverage limit that is at least 80% of the replacement cost of the building at the time of loss. The replacement cost of a building will increase along with the inflated increase of building materials and labor costs. (Inflation Guard Endorsement helps maintain this requirement.)
 - Penalty - If the insured fails to meet the coinsurance requirement, they could be penalized at the time of loss using the following formula:

$$\frac{\text{Limit of Coverage}}{\text{Limit Required}} \times \text{Loss} = \text{Amount Insurer Pays (Less any deductible)}$$

- 1) Property value: \$200,000 x 80% = \$160,000 (amount insured should have)
- 2) Loss = \$40,000
- 3) Underinsured = \$120,000
- 4) $\frac{\$120,000}{\$160,000} = .75 \times \$40,000 = \$30,000$ amount insurance pays
- 5) The difference between the loss and what the insurance pays is the penalty: \$10,000

10. **GRAMM-LEACH-BLILEY ACT**- Prevents a financial institution from disclosing a consumer's private personal information to an unaffiliated third party unless it provides notice to the consumer and allows the consumer an opportunity to opt-out. It requires financial institutions to provide customers with a privacy notice at the start of the customer relationship, and once annually thereafter.
11. **TERRORISM RISK ACT**- A law that requires commercial property to be insured for loss caused by terrorism.

NAMED INSURED'S CONDITIONS/PROVISIONS

12. **INSURED'S DUTIES AFTER A LOSS** - Notify the police for crimes. Notify the insurer. Protect the property from further loss. File proof of loss within 60 days showing value, evidence & receipts.
13. **ASSIGNMENT** - Transfer of rights and duties to a new owner. **Note: Must be approved by the insurer in writing.**
14. **SUIT AGAINST THE COMPANY** - Insured has up to 5 years to sue after the loss in Kansas. **Note: The insured cannot sue until all provisions have been complied with.**

INSURER'S CONDITIONS/PROVISIONS

15. **LIBERALIZATION** - Revisions that broaden the coverage during the policy period automatically apply if no new premium is required.
16. **SUBROGATION** - Requires the insured to transfer their right of recovery against a person that is responsible for the damage to their property. The insurer "steps into the shoes of the insured".
17. **SALVAGE** - Insurer has all rights to salvage value once they pay for the damaged property.
18. **LOSS SETTLEMENT** - Replacement cost is usually provided on buildings. Contents and outdoor property are covered on an Actual Cash Value basis.
19. **LOSS PAYMENT** - Insurer adjust all losses and must pay the loss within 30 days after "proof of loss" is filed, after a court judgment or after an appraisal award.
20. **THE APPRAISAL CLAUSE** - If the insured and insurer can't agree on the damages, the insured and insurer each pick appraisers and if these appraisers can't agree, the appraisers choose a third appraiser called an "umpire". The outcome is binding to all parties.
21. **LOSS TO A PAIR OR SET** - When it isn't considered a total loss, the insurer will repair, replace or pay the difference in the value before and the value after the loss.
22. **RECOVERED PROPERTY** - Insured must either return the found property or the amount the company paid.
23. **GLASS REPLACEMENT** - Replacement cost is provided for all glass damage and the insurer will replace with safety glass when required by ordinance or law.
24. **OUR OPTION** - The insurer does not have to make a cash settlement. They have the option to repair or replace with like kind & quality.

THIRD PARTY CONDITIONS/PROVISIONS

25. **STANDARD MORTGAGE CLAUSE** - Used when a mortgage is outstanding on the property. Protects the interest of the “Mortgagee” and allows the lender to file a claim if the insured fails to do so. Preserves coverage for the lender in the event the insured intentionally damages the property. Requires that the insurer to give the lender a minimum of 10 days notice for all reasons of cancellation and nonrenewal.

26. **DEATH** - Legal representative of the “insured” will become the “insured” until the estate is settled.

PROPERTY INSURANCE DEFINITIONS

1. **ACCIDENT** - A sudden and unexpected event.

2. **AGREED VALUE** - The value established and agreed upon by the insurer and the insured that is used to secure the limit of coverage when the policy is issued. The limit will then be the maximum amount available for a covered loss even if the loss exceeds that limit. If the “named insured” maintains the “agreed value” the coinsurance penalty will not be assessed on partial losses.

3. **DIRECT LOSS** - The “direct physical loss” to the covered property. i.e. The fire caused \$10,000 in damage.

4. **INDIRECT LOSS** - Also referred to as the “consequential loss”. The financial loss caused by the “loss of use” of the building caused by a direct loss covered by the policy. Examples would be additional living expenses and loss of rental income.

5. **LIMIT** - Refers to a dollar amount of coverage. Limits of coverage are usually found on the declarations page. However, some special dollar limits can also be found inside of the insurance contract.

6. **LOSS VALUATION**

- **ACTUAL CASH VALUE** - Replacement cost less depreciation, obsolescence or deterioration.
- **REPLACEMENT COST** - The cost to repair or replace at today’s labor and material costs.
- **MARKET VALUE** - The current selling (or negotiated) price of the building. Used to establish the limit of coverage to be purchased for older buildings.

7. **OCCURRENCE** - An “accident” including a continuous repeated exposure to substantially the same general harmful conditions.

8. **PACKAGE POLICY** - An insurance policy that provides both property and liability coverages. Neither coverage can be endorsed off.

9. **SCHEDULED** - To list separately each item being insured, showing the limit of coverage and premium that applies to that item. Most insurance is provided on a scheduled basis.

10. **UNSCHEDULED** - Used when scheduled coverage is not practical. One limit of coverage is provided for a class of property, such as the contents of a home. It would not be practical to ask a homeowner to list every item that they owned on a declarations page.

11. **UNOCCUPIED** - A building containing furniture, fixtures or machinery but not people.

12. **VACANT** - A building that is empty of property and people.

13. **BLANKET COVERAGE** - One policy covering several locations or items. A more efficient way to provide coverage for certain kinds of property (contents) or situations.

LIABILITY INSURANCE

(LAWSUIT INSURANCE)

- Insurance that protects you when you are legally liable for **bodily injury or property damage to others**.
- 3 PARTIES - THE INSURED, THEIR INSURER AND THE PARTY THAT COLLECTS (CLAIMANT).

The insurer will pay for all sums, up to the stated policy limits for which the insured has become legally liable arising out of the insured's acts causing bodily injuries or damages to other people caused by a "covered occurrence". The policy also pays all investigation and defense costs, **including attorney fees, IN ADDITION TO THE LIABILITY LIMITS STATED IN THE POLICY.**

COMMON EXCLUSIONS AND LIMITATIONS IN LIABILITY POLICIES

- INTENTIONAL ACTS.
- OCCURRENCES COVERED BY OTHER TYPES OF LIABILITY POLICIES. I.E. BUSINESS IS EXCLUDED ON PERSONAL.
- DAMAGE TO PROPERTY OWNED BY, RENTED TO, OCCUPIED BY, USED BY OR IN THE CARE OF THE "INSURED". THIS IS REFERRED TO AS THE **CARE, CUSTODY AND CONTROL EXCLUSION.**

LIABILITY INSURANCE DEFINITIONS

- ☐ **NEGLIGENCE** - Failure to do what a reasonable person would do under the same or similar circumstances. "Tort" (civil wrong) or "Civil" law determines fault and the amount of the award.
- ☐ **STANDARD OF CARE** - Legally, can the insured be liable for a(n):
 - ❖ Invitee - Someone specifically invited over to your home.
 - ❖ Licensee - Friends, family, garbage collectors, letter carriers?
 - ❖ Trespasser - Casual or Criminal?
- ☐ **PROXIMATE CAUSE (PROXIMATE = EXACT OR DIRECT)** - In liability insurance, it is the "occurrence" which causes an unbroken chain of events resulting in injury or damage. In property insurance, it is the relationship between a peril and a loss.
- ☐ **ABSOLUTE LIABILITY** - Responsibility without fault or negligence. i.e. Possession of hazardous property (chemicals, explosives or animals). The ownership of such property is enough to establish legal liability even if the damage was beyond the control of the owner of the property.
- ☐ **STRICT LIABILITY** - Used to establish legal liability when a customer is injured by a product. The manufacturer of a product will be held strictly liable for injury caused by their product even if the customer was using it in a negligent manner.
- ☐ **DAMAGE AWARDS** - How much does the injured party get?
 - ❖ **ACTUAL OR COMPENSATORY LOSS OR DAMAGES** - Consists of both a "General" and "Special" damage payment.
 - **SPECIAL** - Is compensation for medical bills, loss of income, rehabilitation and other direct expenses.
 - **GENERAL** - Is compensation for pain and suffering, loss of companionship and mental anguish.
 - ❖ **PUNITIVE DAMAGES** - Punishment. A cash award in addition to actual damage cash awards, setting an example to discourage similar wrong-doers in the future. (Not covered by insurance.)

PROVISIONS (CONDITIONS) COMMON TO LIABILITY INSURANCE

1. **POLICY PERIOD** - The occurrence must take place during the policy period for coverage to apply.
2. **CANCELLATION & NONRENEWAL** - 10 days notice for non-payment of premium, 30 days for all other reasons, etc.
3. **OTHER INSURANCE**
 - a. **PRIMARY VS. EXCESS** - The policy providing the most specific coverage pays first (primary).
 - b. **PRO RATA** - Pays proportionately between companies.
4. **LIMITS OF LIABILITY** - The maximum amount of money the insurer will pay in damages to others.
 - a. **PER OCCURRENCE** - Maximum paid in any one event.
 - b. **PER PERSON** - Maximum paid to any one person.
 - c. **AGGREGATE** - Maximum paid in any one policy period for all claims combined.
 - d. **SPLIT** - Provides separate limits for BI and PD. Limits for BI can't be used for PD and limits for PD can't be used for BI.
 - e. **COMBINED SINGLE** - Single limits applying to BI and/or PD.
5. **INSURED'S DUTIES IN THE EVENT OF AN OCCURRENCE, CLAIM OR SUIT** - Notify the company promptly of the "occurrence". Notice should include where it took place, names and addresses of any injured persons and witnesses. Must notify promptly if a "claim" or "suit" is made. Send copies of all legal notices, demands and summonses. Authorize the company to obtain records and other information. Cooperate and make no payment or assume any obligation without the "insurers" consent.
6. **ASSIGNMENT** - Transfer of rights & duties of the policy to a new owner. **NOTE: This must be approved by the insurer in writing.**
7. **LIBERALIZATION** - Revisions that broaden coverage during the policy period automatically apply if no additional premiums apply.
8. **SUBROGATION** - Transfers the right of recovery from the insured to the insurer against responsible 3rd party.
9. **BANKRUPTCY** - Bankruptcy of the insured does not relieve the insurer from their responsibilities under the policy.
10. **LEGAL ACTION AGAINST THE INSURER** - Cannot sue the insurer until all conditions have been complied with.
11. **SEPARATION OF INSUREDS (SEVERABILITY OF INSURANCE)** - Coverage applies separately to each "insured". This condition will not increase the limit of coverage that applies for any single "occurrence".

LEGAL DEFENSES

1. CONTRIBUTORY NEGLIGENCE - If a person contributes in any way to a loss, they are barred from recovery against another person even if the other person was mostly at fault. (Common Law)
2. COMPARATIVE NEGLIGENCE - Comparing the negligence of all parties to determine the percentage of fault and the amount of the award. The person with the highest percentage of fault would pay that percentage of the other person's damages or injuries. (Statutory)
3. ASSUMPTION OF RISK DOCTRINE - If a plaintiff voluntarily assumes the risk, they may be barred from recovery, i.e. an adult riding in the back of a pickup. (Common Law)
4. INTERVENING CAUSE - Frees the defendant of liability, i.e. A student living at the dorm accidentally drops a cigarette into the trash can causing \$40,000 in damage to the building and it's contents. During the investigation it was also determined that the smoke detector had failed. If the detector had worked properly the damage would have been of little consequence. The intervening cause (failure of the detector) is the proximate cause of the damage freeing the student of any legal responsibility. (Common Law)
5. STATUTE OF LIMITATIONS - Suits must be brought within the time period as specified by law. (Statutory)

HOMEOWNERS '00 POLICY

A PACKAGE POLICY

Covers the Property & Liability exposures the Average Homeowners has.

POLICY STRUCTURE:

DECLARATIONS PAGECOMPANY NAME AND POLICY #
POLICY EFFECTIVE DATE & TIME

INSURED'S NAME: _____

INSURED'S ADDRESS: _____

SECTION I - PROPERTY

A - DWELLING \$100,000
Replacement Cost Value (RCV)B - OTHER STRUCTURES \$10,000
Additional (10% of A)
RCV on buildings, ACV other propertyC - UNSCHEDULED PERSONAL PROPERTY
ACV Settlement \$50,000
Additional (50% of A)
Territory - 100% of the limit world-wide.D - LOSS OF USE \$30,000
Additional (30% of A)
"Consequential" or "Indirect Loss" coverage of
additional living expenses or loss of rent.

SECTION II - PERSONAL LIABILITY

(Also called: Comprehensive Personal Liability Policy)

E - PERSONAL LIABILITY \$100,000/occ.
F - MEDICAL PAYMENTS TO OTHERS
(AGGREGATE) \$1,000/person
\$25,000/occ.

PREMIUM AMOUNT _____

MORTGAGE COMPANY _____

FORMS AND ENDORSEMENT #'S _____

DATE & PLACE OF ISSUE _____

AGENT'S SIGNATURE _____

INSURANCE CONTRACT

- AGREEMENT
- DEFINITIONS
- SEC. I COVERAGES
- SEC. I PERILS INSURED AGAINST (This section is not found in Section II - Liability)
- SEC. I EXCLUSIONS
- SEC. I CONDITIONS
- SEC. II COVERAGES
- SEC. II EXCLUSIONS
- SEC. II CONDITIONS
- SEC. I & II CONDITIONS

ENDORSEMENTS

SPECIAL PROVISIONS - KANSAS

Gives the insured 5 yrs. to sue company instead of 1 yr.
Requires losses to be paid in 30 days instead of 60 days.

- PERSONAL PROPERTY REPLACEMENT COST COVERAGE

Provides RCV for personal property, awnings, carpeting, appliances and property scheduled on a Scheduled Personal Property endorsement.

- SCHEDULED PERSONAL PROPERTY

Provides specified limits for the property scheduled.
Provides agreed value coverage with no deductible.
Provides "Open Peril Coverage" on world wide basis.
For use on valuables, i.e. furs, jewelry, silverware, coins, fine arts, stamps, etc.

- WATER BACK UP AND SUMP PUMP DISCHARGE OR OVERFLOW

Provides up to \$5,000 of coverage with a \$250 deductible.

- EARTHQUAKE

- INFLATION GUARD

Helps maintain 80% coinsurance

- PERSONAL INJURY

Covers lawsuits from defamation of character, i.e. wrongful arrests, wrongful evictions, etc.

- WATERCRAFT LIABILITY

- HOME DAY CARE

“NAMED INSURED”: YOU AND YOUR SPOUSE IF A RESIDENT OF THE SAME HOUSEHOLD. **“INSURED”** You and residents of your household who are YOUR RELATIVES (by blood, adoption ,or marriage); or OTHER PERSONS UNDER THE AGE OF 21 AND IN THE CARE OF YOU OR YOUR RELATIVES (i.e. foster children, foreign exchange student).

“INSURED LOCATION”: The residence premises, the part of other premises, other structures and grounds used by you as a residence that is shown on the Dec page or which is acquired by you during your policy period for your use as residence, any part of a premises not owned by an “insured” and where an “insured” is temporarily residing, vacant land (other than farm land) owned by or rented to an “insured”, and individual family cemetery plots or burial vaults of an “insured” up to \$5,000..

INSURING AGREEMENT: Found inside the contract. Describes the property that is covered by the “limit” of coverage scheduled on the declarations page.

HOMEOWNERS ELIGIBILITY

- ✓ “Dwelling” must be used primarily for residential purposes and must be owner occupied.
- ✓ Must be a 1 to 4 family dwelling.
- ✓ May have up to 2 roomers/boarders (unrelated tenants' property not covered).
- ✓ Farms and businesses are not eligible.
- ✓ Incidental service business with two or less employees can be conducted in the home. Examples would be a beauty shop, barber shop, business/professional offices, private schools' studios (music, dance, photography, etc.). Mercantile, manufacturing, wholesale distributors, auto repair, etc. are not allowed.
- ✓ Coverage B, Other Structures (detached garage) are excluded from coverage if used for any “business” purpose. NOTE: A garage that is rented to another person for the purpose of parking a car, boat, motorcycle, etc. is covered.
- ✓ Unrelated tenant’s personal property & liability are not covered. They need their own coverage. (HO-4 Contents Broad Form)
- ✓ Resident relatives' personal property and liability is covered because they are “insureds”.

HOMES

HOMEOWNERS

#2

BROAD FORM

Broad named perils on
Cov. A, B and C.

HOMEOWNERS

#3

SPECIAL FORM

(ALL RISK or OPEN PERIL)

Special cause of loss on Cov.
A and B. Broad named peril
coverage on C.

HOMEOWNERS

#5

COMPREHENSIVE FORM

Special cause of loss on
Cov. A, B and C.

Basic, Broad,
Special “cause
of loss” are on
pages 1.2 & 1.3.

OLDER HOMES

HOMEOWNERS

#8

MODIFIED FORM

Basic named perils + V&MM and theft
coverage (\$1,000 maximum on
personal property, i.e. TV, furniture,
clothes, etc.) on A, B and C. ACV
settlement or repair cost up to the
market value.

RENTERS

HOMEOWNERS

#4

CONTENTS BROAD FORM

Coverage A and B are not
needed. Broad perils on Cov.
C. 10% of C is provided for
“tenants improvements” to the
apartment. Also called
“buildings additions and
alterations”.

CONDOMINIUMS

HOMEOWNERS

#6

CONDOMINIUM UNIT OWNERS FORM

Broad named perils on Cov.
A and C. Cov. B is not
needed.



CONDOMINIUM PROPERTY COVERAGE

Commercial Policy will cover the
outer shell of the building structure
and any separate structures owned by
the “Condo Association”.
Each owner then buys their own
insurance to cover their unit (HO-6).

NOTE: All HO forms cover
theft of personal property.

EXCLUDED “CAUSES OF LOSS” ON ALL FORMS

- ☐ All earth movement (earthquake, landslides, “mine subsidence” and sinkhole collapse).
- ☐ Water damage from surface water (flood, ground water and sewer back up & sump pump failure).
- ☐ Ordinance or law. (10% of cov. A limit in Kansas)
- ☐ Common power failure.
- ☐ Neglect and intentional loss.
- ☐ War and nuclear hazard.
- ☐ Cracking of walls.
- ☐ Leaky basements.
- ☐ Bulging of foundation.

**NOTE: ALL FORMS HAVE THE
SAME SECTION II PERSONAL
LIABILITY COVERAGE**

SPECIAL LIMITS OF LIABILITY UNDER COVERAGE C (PERSONAL PROPERTY)

(Also known as “inside” or “interior” limits)

LIMITS APPLY PER CATEGORY

\$1,500 - (Theft, misplacing or losing) furs, jewelry, stones and watches.

\$2,500 - (Theft, misplacing or losing) on guns.

\$2,500 - (Theft, misplacing or losing) on Pewterware, goldware and silverware.

\$200 - (All Perils) on banknotes, gold, silver and money.

\$1,500 - (All Perils) re-creation of personal records (paper or computer software), securities, accounts, deeds, passports, evidence of debt, manuscripts, tickets, stamps, watercraft, trailers and motors. **(NOTE: Rowboats and canoes do not have an inside limit. Must be stored properly.)**

\$2,500 - (All Perils) Property used primarily for “Business”. **(\$1,500 off the “Residence Premises”)**

\$1,500 - (All Perils) “Portable electronic equipment” while in or upon a motor vehicle or away from the “residence premises” if it can be powered by both the vehicle and other power source. **\$250** on tapes, wires, records, disks and other media, etc.

PROPERTY NOT COVERED

Under Coverage A & B: Land, including land on which the structures are built.

Under Coverage C: (UNSCHEDULED)

- | | |
|---|--|
| <ul style="list-style-type: none"> • Property specifically covered by other insurance. (SCHEDULED) • Aircraft, except for models. • Motor vehicles, except those used to service the residence and assist the handicapped. | <ul style="list-style-type: none"> • Damage to animals, birds and fish. • Unrelated tenant’s property. • Business data (paper or computer). |
|---|--|

SECTION I: ADDITIONAL COVERAGES

Additional coverages are “ADDITIONS” and/or “EXTENSIONS”.

“Additions” - Increase the limit of insurance provided by the policy.

“Extensions” - They do not increase a limit, but instead allow the insured to apply unused limits from coverage to another.

1. **Debris Removal** - (extension/addition) An “extension” of coverage, however an “additional” 5% of A is available if loss + debris removal exceeds the policy limit. An “additional” \$500/tree up to a max of \$1,000 for removal of your trees felled by wind, hail, ice and a neighbor’s tree felled by a covered peril provided it damages a covered structure.
2. **Reasonable Repairs** - (extension) Covers temporary repairs.
3. **Trees, Shrubs and Other plants** - (addition) 5% of A, max of \$500/item. Landscaping covered for Fire/lightning, explosion, riot or civil commotion, aircraft, non-owned vehicles, V&MM, theft. **NO coverage for wind, hail, ice or snow.**
4. **Fire Department Service Charge** - (addition) \$500 (no deductible applies).
5. **Property Removed to preserve the property – (addition)** extends coverage to property removed for 30 days against direct loss from any cause.
6. **Credit Card, Fund Transfer Card, Forgery and Counterfeit Money** - (extension) \$500 (no deductible applies). Credit Card losses - #1 Call the Bank to cancel credit cards!
7. **Loss Assessment** - (addition) \$1,000.
8. **Collapse** - (extension) Collapse is not a peril, but coverage for collapse of a building under Cov. A and B if the damage is caused by a peril insured against under the policy, weight of people or property, hidden insect, and decay damage.
9. **Landlord’s Furnishings** - (addition) \$2,500 broad perils, except for theft.

DECLARATIONS PAGE

COMPANY NAME AND POLICY #
POLICY EFFECTIVE DATE & TIME

INSURED'S NAME: _____
INSURED'S ADDRESS: _____

SECTION I - PROPERTY

A - DWELLING\$100,000
Replacement Cost Value (RCV)

B - OTHER STRUCTURES\$10,000
Additional (10% of A)
RCV on buildings, ACV other property

C - UNSCHEDULED PERSONAL PROPERTY
ACV Settlement\$50,000
Additional (50% of A)
Territory - 100% of the limit world-wide.

D - LOSS OF USE\$30,000
Additional (30% of A)
"Consequential" or "Indirect Loss" coverage of
additional living expenses or loss of rent.

SECTION II - PERSONAL LIABILITY

(Also called: Comprehensive Personal Liability Policy)

E - PERSONAL LIABILITY\$100,000/occ.

F - MEDICAL PAYMENTS TO OTHERS
(AGGREGATE)\$1,000/person
\$25,000/occ.

PREMIUM
AMOUNT _____

MORTGAGE
COMPANY _____

FORMS AND ENDORSEMENT #'S _____

DATE & PLACE OF ISSUE _____

AGENT'S
SIGNATURE _____

ENDORSEMENTS

PERSONAL INJURY

Covers lawsuits from defamation and invasive
photos, publications, wrongful evictions, etc.
Includes an aggregate limit for any one policy
period regardless of the number of "insureds"
offences, claims or suits brought.

WATERCRAFT LIABILITY

HOME DAY CARE

HOMEOWNERS SECTION II -
LIABILITY COVERAGES

E. PERSONAL LIABILITY. Minimum Combined Single Limit -
\$100,000/occurrence.

Insuring Agreement (inside contract):

If a claim is made or a suit is brought against an "insured" for
damages because of "bodily injury" or "property damage"
caused by an "occurrence" to which the coverage applies, we
will:

1. Pay up to our limit of liability for the damages for which the
"insured" is legally liable, and;

2. Provide a defense at our expense by counsel of our choice, even
if the suit is groundless, false or fraudulent. We may investigate
and settle any claim or suit that we decide is appropriate. Our
duty to settle or defend ends when our limit of liability for the
"occurrence" has been exhausted by payment of judgment or
settlement.

F. MEDICAL PAYMENTS TO OTHERS. Minimum Limits:
\$1,000/person; \$25,000 aggregate. Payable up to 3
years from the date of accident, regardless of fault.

Insuring Agreement (inside contract):

"We will pay the necessary medical expenses that are
incurred or medically ascertained within three years
from the date of an accident causing "bodily injury".
Medical expenses means reasonable charges for
medical, surgical, x-ray, dental, ambulance, hospital,
professional nursing, prosthetic devices and funeral
services. This coverage DOES NOT APPLY TO YOU OR
REGULAR RESIDENTS OF YOUR HOUSEHOLD except for
"residence employees". As to others, this coverage
applies only:

1. To a person on the "insured location" with permission of
an "insured", or;

2. To a person off the "insured location", if the bodily
injury;

a. Arises out of a condition on the "insured
location" or the ways immediately adjoining;

b. Is caused by the activities of an "insured";

c. Is caused by a "residence employee" in the
course of the "residence employee's"
employment by an insured;

d. Is caused by an animal owned by or in the care
of the "insured".

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HOMEOWNERS SECTION II - LIABILITY EXCLUSIONS

Coverages E & F do NOT apply to:

1. Bodily Injury or Property Damage that is expected or intended. By an "insured." However, property damage up to \$1,000 caused by the intentional acts of children under 13 is covered. Excludes vicarious liability for the minors use of motor vehicles (auto insurance), aircraft (aviation insurance) and watercraft (boat insurance). (Vicarious liability - when a person is legally liable for the actions or negligence of another person, i.e. vicarious parental liability.)
2. A "business" engaged in by an "insured". This exclusion does not apply to a Part-time or occasional self-employed business for an "insured" who is under 21.
3. Providing professional services.
4. The ownership, maintenance, use loading or unloading of a motor vehicle (except to service an insured's residence, to service the handicapped, a golf cart used to play golf or a toy vehicle for children under 7 that is powered by batteries with a top speed of 5mph.).
5. Watercraft, except as provided...The policy will cover owned or rented boats with outboard motors of 25 HP or less and sailboats of 26 feet or less. (NOTE: Rented boats with inboard or inboard-out drive of 50 HP or less are also covered.)
6. Aircraft or Hovercraft, except for models.
7. "Property damage" to property owned by, rented to or used by an "insured". **(Care, custody and control exclusion.)**

EXCLUDES LAWSUITS FROM TRANSMISSION OF COMMUNICABLE DISEASE, SEXUAL MOLESTATION, CORPORAL PUNISHMENT AND PHYSICAL OR MENTAL ABUSE BY AN INSURED.

EXCLUDES THE USE, SALE, MANUFACTURE, DELIVER AND TRANSFER OR POSSESSION OF A CONTROLLED SUBSTANCE.

SEC II: ADDITIONAL COVERAGES (also called **Supplementary Payments**)

We cover the following **in addition to the limits** of liability:

A. Claims Expenses.

We Pay:

1. Expenses we incur and costs taxed against an "insured" in any suit we defend;
2. \$250 premium for Bail Bonds. We do not provide the bond;
3. Premium on appeal bonds;
4. Accrued interest after judgment and prejudgment interest. Maximum interest rate in Kansas is 18%;
5. Reasonable expenses incurred by an "insured" at our request, including actual loss of earnings up to \$250/day.

NOTE: These are found in every liability contract!!

FARMOWNERS ('03) POLICY –Two Types

1) Based on Commercial Package Policy

2) The homeowners Policy

The Farm Policy can be written as a stand-alone policy as stated below or it can be written in a Commercial Package Policy format having four Farm Coverage Forms: Farm Property Form, with the causes of loss being either Basic, Broad or Special. Mobile Agricultural Machinery & Equipment Coverage Form. The Livestock Coverage Form and the Farm Liability Coverage Form.

The Farm Property & Farm Liability Coverages basically make up the "Farm owners" Policy.

The Farm owners Policies (Below) are a spin-off of the Homeowners Policies.

Section I - Property

A - Dwelling

B - Other Private Structures

C - Household Personal Property

D - Loss of Use

E - Scheduled Farm Personal Property

F - Unscheduled Farm Personal Property

G - Other Farm Structures

- Coverages A - D are identical to the Homeowners Policies.

- Can add the Scheduled Personal Property Endorsement to cover those items under Coverage C with the inside limits.

- Can add the Special Personal Property Coverage Endorsement the change coverage C to all risk (does not affect the inside limits).

- Can add the Livestock Coverage Form to cover animals on premises, if they stray into a neighbor's field and get injured or cause damage. This is Property & Liability Coverage. Excludes animals in transit, while at sale barns, stock yards. Also excludes diseases specific to breed and vehicle damage. It does cover strangulation, electrocution and drowning.

Section II - Liability

H - Personal Liability - \$100,000

I - Personal Injury and Advertising Injury Liability - Is part of the H limit.

J - Medical Payments - \$1,000

Note - like HO it also has \$1,000 for damage to property of others.

-- This policy also covers liability for custom combining under the personal liability if the receipts for such activities is less than \$2,000/year. --

USE

Primarily designed to be used for dwellings that are rented to others. Also used to cover homes that are owner-occupied, but do not qualify for the Homeowners Policy, i.e. Property is too old or too small.

ELIGIBILITY

Single Family and up to 4 units; up to 5 boarders in one structure; farms are not eligible; businesses are not eligible (other than “incidental service businesses” with two or less employees.)

All coverages: \$250 standard deductible			
Dwelling (A)	DP-1 Basic	DP-2 Broad	DP-3 Special
	ACV (No co-insurance)	RCV (80% Co-insurance)	RCV (80% Co-insurance)
Other Structures (B)	10% Extension	10% Additional	10% Additional
Contents (C)	Optional (ACV)	Optional (ACV)	Optional (ACV)
Fair Rental Value (D)	20% Extension Limited to 1/12th of the extension per month	20% Additional Actual loss up to the limit	20% Additional Actual loss up to the limit
Additional Living Expenses (E)	Not Available	20% Additional	20% Additional
Theft of Building Parts	Not Covered	20% Additional	20% Additional
Vacancy Period: 60 Days			
Personal Liability - Can be added as an option when needed. Provides the same coverage as Section II of HO.			

ENDORSEMENTS

- BROAD THEFT** - Provides the same theft coverage found in the HO policy. Should be added when the optional contents coverage is selected. **NOTE: All dwelling policies specifically exclude theft coverage for personal property.**
- DWELLING UNDER CONSTRUCTION** - Provides coverage on a new home (dwelling) during construction. Coverage A limit will be the estimated value at time of completion. The premium is 65% of the normal premium charged for the value.
- SPECIAL PROVISIONS KANSAS ENDORSEMENT** - Same endorsement that is required to be added to the HO policy.

MOBILE HOMEOWNERS INSURANCE; MH-1, MH-2 and MH-3

- All forms provide coverage on an ACV basis only.
- Does not cover camping trailers or motor homes.
- The mobile home must be permanently located:
 - Must be skirted.
 - Tied down.
 - Wheels removed.

NOTE: A mobile home could be covered by a DP-1 if it can't qualify for a MH policy.

NOTE: The policy does not cover the mobile home when it's transported or moved to a new location.

If it's EVEN it's BROAD, but if it's ODD it's SPECIAL, except for the HIGH 8 or LOW 1!

See Handout

WORKERS COMPENSATION

A SOCIAL REMEDY FOR 3 BASIC LEGAL DEFENSES OF AN EMPLOYER PRIOR TO ITS INCEPTION

Assumption of Risk	Contributory Negligence	Fellow Servant Rule
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THE PURPOSE OF WORKERS COMPENSATION IS TO PAY BENEFITS TO INJURED WORKERS REGARDLESS OF FAULT OR NEGLIGENCE

Coverage is mandatory for all classes of employment EXCEPT :	
• Real Estate Brokers & Salespersons • Agricultural Workers • Domestic Workers & Homemakers • Any employer whose payroll is less than \$20,000	• Workers covered by Federal Law • Sole proprietors, Partners & Self-employed individuals • NOTE: Owners of a company may exclude themselves from the WC policy.

RATING OF WORKERS COMPENSATION POLICIES

Payroll is estimated and a “deposit premium” is collected. The final premium is determined at the end of the policy period (“Premium Audit”). Premiums and losses incurred over a 3-year period are used to determine any premium adjustment. “Experience Modification” reduces premium if loss history is lower than average. If losses are high than average, a “Surcharge” increases premium.

Rating - Rates are based per \$100 of payroll of each job classification - Audited policy.

Should the employer not provide coverage as required by law: - The employee will receive a benefit equal to what the policy would have paid (employer must pay). - The employer will be charged with a misdemeanor and will be fined. - Employees compensation benefits will be increased as a further penalty.

POLICY STRUCTURE
Part I - Statutory Workers Compensation Benefits.
Part II - Employers Liability.
Part III - Other State’s Coverage.
Part IV - Insured’s (Employer’s) duties if injury occurs. - Must provide medical services. - Report injury. - Cooperate with the insurer.
Part V - Premiums.
Part VI - Conditions.

WORK RELATED VS. NON-WORK-RELATED INJURIES
Time: Injury must occur while work is being performed.
Place: Injury must occur at the place of business or away while duties are being performed.
Circumstances: Intentional acts, intoxication, etc. could void or limit benefits.

How workers compensation benefits are funded:

Insurance - Insurance is purchased by the employer from a private insurance company.

Monopolistic vs. Competitive

Monopolistic States - Employers must purchase their WC coverage from the state fund.

Competitive States - Compete against private companies giving the employers a choice between the state fund or private insurers.

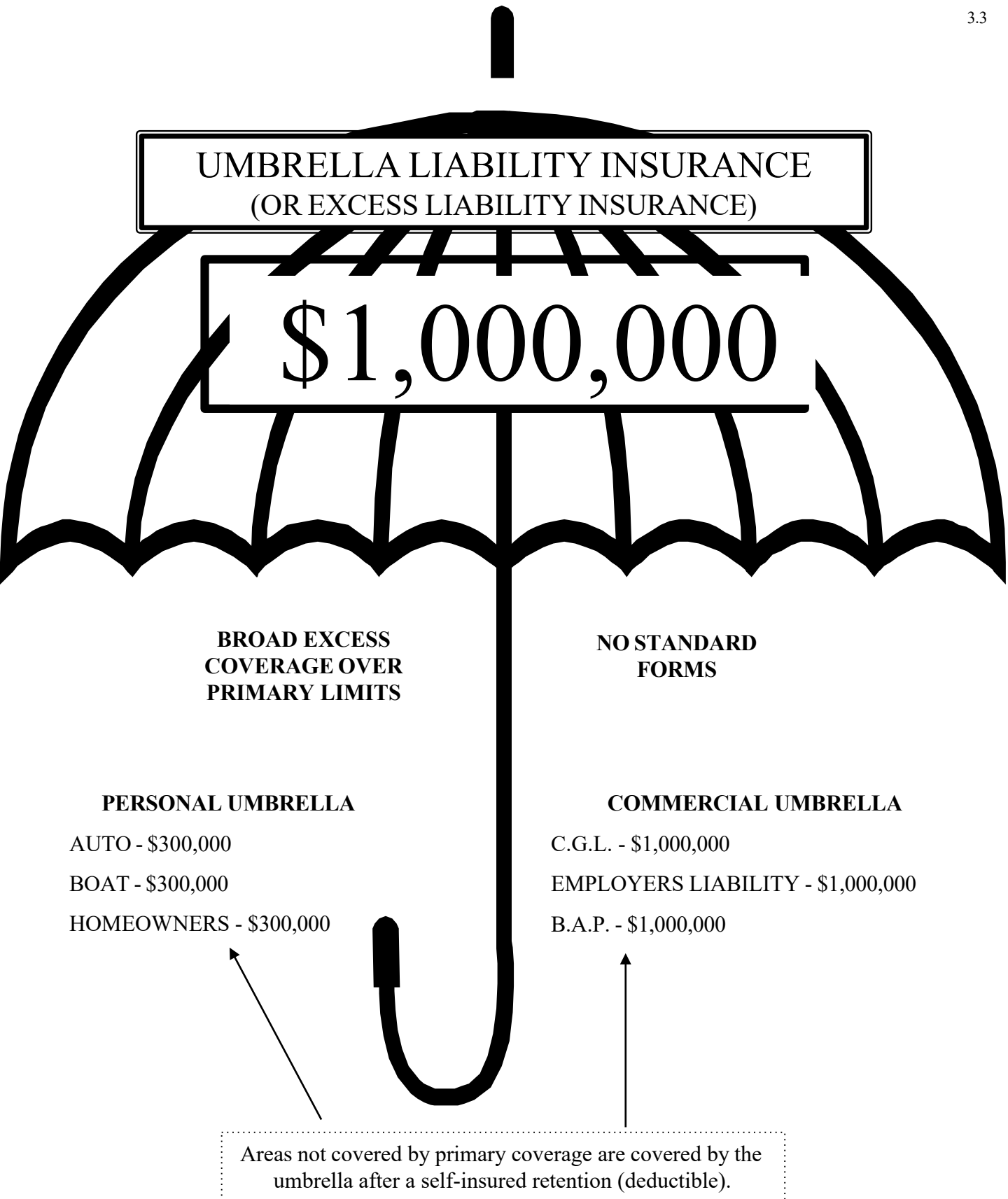
Risks that are not acceptable can be assigned to a single insurer or shared by all participating carriers - KANSAS WORKERS COMPENSATION INSURANCE PLAN

KANSAS WORKERS COMPENSATION ACT Part One: Workers Compensation Statutory Claims made against the employer Covers occupational injuries and occupational diseases arising from the employer - employee relationship. BENEFITS • Unlimited medical expenses including mileage (distance traveled over 5 miles; 32 cents/mi.) and per diem. • Loss of Time benefit - elimination period of 7 days and retroactive payment after 3 weeks. • Temporary Partial Disability - percentage of wage is covered subject to state minimum and maximum benefits. (\$130,000) • Temporary Total Disability - percentage of wage is covered subject to state minimum and maximum benefits. (\$130,000) • Permanent Partial Disability - scheduled injury payments for permanent partial disability, i.e. 66 2/3 of average weekly wage for 120 weeks for loss of one eye. • Permanent Total Disability - percentage of wage is covered subject to state minimum and maximum benefits. (\$155,000) • Survivor's Death Benefits - \$300,000 lump sum plus survivor income benefits for widow and children up to age 18 (23 if still in school). Burial allowance is \$5,000. Note: An employee has 10 days to notify if there has been an accident or 90 days to notify if they have been diagnosed with an illness.	Part Two: Employers Liability Common Law Claims made against the employer. Covers the insured (employer) if suit is brought by an employee that is not covered by the Compensation Act, i.e. a disease that is not classified as an "occupational disease". Also allows for "third party" lawsuits made against the "insured". Basic liability limit: \$100,000 (which may be increased). -- The supplementary payments are included -- Exclusions: - Punitive or exemplary damage payments - Bodily injury to an employee while employed in violation of the law with the insured's knowledge - Intentional bodily injury - Injury occurring outside the U.S. & Canada - Damages arising from discrimination - Obligations imposed by WC laws (covered under part I) Endorsements: - Voluntary Compensation (for excepted employees) - Foreign Voluntary Compensation Note: A special legal relationship exists between contractors and subcontractors. Contractors should require a CERTIFICATE OF INSURANCE from subcontractors. If the subcontractor fails to provide WC to their employees, then the contractor will be responsible to provide WC to the subcontractor's employees. NOTE: CERTIFICATE OF INSURANCE - must include the Insured's name and the policy period.
--	--

* Vocational rehabilitation services are designed to help an injured worker return to work with the pre-injury employer, in either the same or different job, or to a new employer in the same or different type of work by assessing the injuries and job skills of the employee. This service is considered voluntary.

* Exclusive remedy - Employers are responsible for work-related injury and disease, regardless of whether it was the employee's fault and in return the injured employee gives up the right to sue when the employer's negligence causes the harm. → **Definition of Worker's Compensation**

- Benefits are reduced for serious and willful misconduct.
- Benefits are excluded for injury or death due to intoxication, unless the employer knew about it and let it go on.
- Benefits are payable and increased as a penalty for illegal employment of minors.



PROFESSIONAL LIABILITY POLICIES

Protects the insured for failure to perform the services for which hired and/or to perform them in accordance with the appropriate standards of conduct.

ERRORS & OMISSIONS (E&O)

Applies to liability exposures from knowledge skill or advice.

E&O is available for: Advertisers/Broadcasters/Publishers, Insurance Agents, Accountants, Real Estate Agents & Brokers, Architects/Engineers, Attorneys, Pension Plan Fiduciaries and Stockbrokers. The lawyers form of E&O automatically covers all member attorneys of the firm as “named insureds” without naming them.

DIRECTORS & OFFICERS (D&O)

D&O protects the directors and officers from lawsuits from stockholders. It covers wrongful acts and decisions that cause the stockholders to lose money. This covers the directors & officers only while they are performing their duties. It covers each of them individually.

EMPLOYMENT PRACTICES LIABILITY

In the course of business the owner of a business could be responsible for wrongful termination, discrimination, verbal, physical, mental or emotional abuse against an employee based on their race, gender, sexual orientation, etc. EPL provides protection for suits related to these types of employment practices.

MEDICAL MALPRACTICE

Professional liability coverage for health care professionals. Helps defend lawsuits brought by current or former patients.

NOTE: Medical Malpractice could have a “Consent to Settle” clause - the insurance company must receive the “insured’s” consent to settle a lawsuit

DATA BREACH/CYBER LIABILITY

Any business that asks for personal information from its customer or clients takes on the risk that it could be leaked or hacked. Examples like social security #s, driver’s license #s, and credit card #s are all susceptible to a cyber-attack.

The liability coverage would protect these businesses if their information is breached, and in doing so causes a financial loss to their customers.

BONDS

OBLIGEE-INSURED

The person that collects on the bond when the obligor-principal defaults. This is the person that is insured (protected).

SURETY-GUARANTOR

This is the insurance company. They guarantee the obligee insured that the obligor-principal will fulfill their obligations, or the surety-guarantor will pay the obligee-insured.

OBLIGOR-PRINCIPAL

This is the person that is bonded and whose obligation is being guaranteed by the surety. The surety-guarantor will pay the penalty to the obligee-insured if the obligor-principal ever defaults on their obligation.

FIDELITY BONDS ARE ARRANGED AND PAID BY THE OBLIGEE-INSURED.

SURETY BONDS ARE ARRANGED AND PAID BY THE OBLIGOR PRINCIPAL.

1. Fidelity Bonds - protect an employer from loss in the event that its employees cause loss through dishonest or negligent action. Coverage ends for an employee after a dishonest act has been discovered. Discovery period allows the business owner 2 years to discover if a past employee had taken any money or property.
2. Surety Bonds - Issued by the surety guarantor guaranteeing that the obligor-principal will fulfill an obligation to an obligee-insured. Surety bonds only last as long as it takes to fulfill the principal's obligation, i.e. build the building, show up for trial, etc.

PERSONAL AUTO '05 DEFINITIONS:

- BODILY INJURY LIABILITY (BI)** - Pays for injuries, sickness, disease and death paid to other persons you injure with your car.
- PROPERTY DAMAGE LIABILITY (PD)** - Pays for repairs to the other person’s car or any other property of others that you hit with your car.
- PHYSICAL DAMAGE** - Repairs your car through Collision and “Other Than Collision” (a.k.a. Comprehensive).

“COVERED AUTO”

Vehicles that can qualify for personal Auto: PRIVATE PASSENGER AUTOS, PICK UPS OR VANS LESS THAN 10,000 LBS (WITH 4 WHEELS OR MORE). NOTE: Farm use is allowed!

- Any vehicle shown on the Deck page.
- Trailers owned by the insured. Liability is automatic while attached or towed by the covered auto.
- Additional Vehicle. 14 days automatic coverage for all coverages that the insured currently has. Note: There is only 4 days of coverage for Collision and Other Than Collision on the new car if the Collision and Other Than Collision is not provided on at least one vehicle already insured. (\$500 deductible.)
- Replacement Vehicle. Same coverage on the car you replaced. 4 days to add or 14 days to continue Cov. D. **Liability continues to the end of the policy period without notification.**
- Temporary Substitute. The vehicle you are driving while your regular car is being
- repaired. Vehicles leased for more than 6 months are insured as if owned.

POLICY TERRITORY:
U.S., ITS TERRITORIES, POSSESSIONS,
PUERTO RICO & CANADA

THERE IS NO COVERAGE IN MEXICO!!

NAMED INSURED
(INCLUDES SPOUSE IF LIVING TOGETHER
AND FOR 90 DAYS AFTER A SEPARATION
OR A DIVORCE)

OTHER INSURED
PERSONS:

FAMILY MEMBERS
(RESIDENT RELATIVES)
INCLUDING WARD
AND
FOSTER CHILDREN

ANYONE WITH
ASSUMED
PERMISSION TO
DRIVE THE INSURED
CAR

RATING FACTORS	
• AGE	• DRIVING RECORD
• GENDER	• PRIMARY USE
• TERRITORY	• MARITAL STATUS

- EXCLUSIONS:**
- INTENTIONAL ACTS
 - DAMAGE TO PROPERTY BEING TRANSPORTED (INLAND MARINE)
 - PREARRANGED RACING
 - NON-OWNED AUTOS PROVIDED FOR THE REGULAR USE OF THE INSURED

RULE: Your Liability and Physical Damage coverage is excess when driving a non-owned auto. (Insurance stays with the car!)

LIABILITY COVERAGE (A) (REQUIRED)	KANSAS ENDORSEMENT (REQUIRED)	(C) (REQUIRED)	(B) 4.2 (OPTIONAL)
Required split limits (KS) 25/50/25 BI PD \$25,000/person \$25,000/occ. \$50,000/occ. Supplementary Payments (Pays in addition to liability limits) 1. Investigation & Defense costs. 2. \$250 premium on bail bonds. 3. Premiums on appeal bonds. 4. Accrued interest after judgment. 5. \$200/day for lost earnings while attending trials/hearings at the company's request. 6. Any other reasonable expenses incurred at the company's request.	PERSONAL INJURY PROTECTION (PIP) "No Fault Insurance" Per person limits \$4,500 for medical bills. \$4,500 for rehabilitation. 100% of income up to \$900/mo. disability income for up to 12 months (paid bi-monthly). \$900/mo. survivors benefit up to 12 months. (Spouse and Children under 18.) \$2,000 for funeral expenses. \$25/day for essential services - minimum coverage being 365 days. PIP benefits are paid to the insured, family and persons "occupying" the insured's car WHO DO NOT OWN A CAR THEMSELVES. NO FAMILY MEMBER NOR ANY OTHER PASSENGER CAN COLLECT FROM YOUR PIP IF THEY OWN A CAR TOO! Definition: "OCCUPYING" - in, upon, in the act of getting in or out, near, under or around the car. Note: In Kansas an individual cannot sue another party for non-pecuniary injuries unless you meet the "threshold limit" of over \$2,000 in medical bills, damage to a weight-bearing bone, are permanently disfigured or permanently disabled.	25/50 (BI) Limits can be increased to match liability limits. (Limits for UM and UIM must be the same.) UNINSURED MOTORIST Pays the insured's own injuries if hit by an <u>uninsured car, a car insured with a company declared as insolvent and hit & run cars.</u> UNDERINSURED MOTORIST Pays the difference between the other driver's limits and your limits. In both cases the other driver must be at fault for the accident. NOTE: This coverage does NOT cover physical damage.	Auto medical Insurance Pays for medical bills for services rendered, including funeral bills, for 3 years after the accident. Note - When this is purchased the amount you buy is excess to the medical payments' coverage in PIP.
Transportation Expenses/Rental Reimbursement 1. Covers expenses incurred by you in the event of a loss to your "covered auto" caused by collision or "other than collision". 2. Covers expenses for which you become legally responsible on a "non-owned auto". Coverage begins after 48 hrs. for theft of an owned or non-owned auto. Coverage begins after 24 hrs. for any other covered loss. Basic Limits: \$20/day to a maximum of \$600 (or until repaired or recovered).		PHYSICAL DAMAGE (D) (OPTIONAL)	
		PAYS ACV WILL HAVE A DEDUCTIBLE	
		COLLISION Pays for repairs to insured auto for damage caused by <u>colliding with another object, upset or rollover.</u> NOTE: Premiums will be affected here.	"OTHER THAN COLLISION" (COMPREHENSIVE) Pays for repairs to covered auto for anything that happens to the car EXCEPT collision, wear & tear, rust, war, nuclear, freezing damage, mechanical breakdown, etc. NOTE: Collision with animals, theft, earthquake and flood ARE covered here.

- States that automobile liability policies must comply with state law (25/50/25)
 - Requires that Personal Injury Protection (PIP) benefits to be included in every auto policy.
 - Allows motorcycle operators the right to reject PIP (reduces premium)
- * Required insurance information: A card must be kept in your car that states the insurer’s name, policy number, effective date and expiration date of the policy or a certificate of self-insurance signed by the Insurance Commissioner.

KANSAS AUTOMOBILE INSURANCE PLAN (KAIP) - ASSIGNED RISK PLAN:

1. If the insurance company cancels or non-renews for any reason, except for non-payment of premium, a notice must be sent stating coverage is available through the plan.
 2. Every company doing business must participate & accept their pro-rata share of assignments.
- * Insured must make 3 attempts in the normal market.

REASONS FOR CANCELLATION:

- | | |
|--|--|
| <ul style="list-style-type: none">• First 60 days: any reason.• After 60 days: specified reasons. <ol style="list-style-type: none">1. Non-payment of premium - 10 days.2. Fraudulent misrepresentation on insurance application - 30 days.3. Violating conditions and terms of the policy - 30 days. | <ol style="list-style-type: none">4. Named insured or resident driver:<ol style="list-style-type: none">A. has driver’s license suspended or revoked - 30 days.B. has epilepsy, heart problems; Dr. won’t give ok to drive - 30 days.C. is convicted of a felony, criminal negligence causing death, DUI/drugs, leaving the scene of an accident, auto theft, giving false statements to get license, 3 moving violations within an 18-mo. period. - 30 Days |
|--|--|
- NOTE: An accident is NOT a valid reason for cancellation.

ACCIDENT PREVENTION COURSE

Insurers must give an appropriate reduction in premium for 3 years after the completion of an accident prevention course. The insured will lose their discount for an at-fault accident or more than one moving violation. Discount does not apply if the insured must take a course as a result of a moving violation.

COMMON ENDORSEMENTS

MISCELLANEOUS VEHICLE: Motorcycles, RV’s, ATV’s, etc.

TOWING & LABOR: \$25 increments but does not cover parts.

ADDITIONAL NAMED INSURED

DRIVE OTHER CAR (DOC)/INDIVIDUAL NAMED INSURED: People who are furnished a car by their employer and who do not have their own personal auto policy.

MAKE SURE YOU RTWDT ON THE STATE TEST!

1. Personal Liability Insurance (a.k.a. Comprehensive Personal Liability Insurance) Section II - Homeowners Covers BI/PD to others.	2. Personal Injury Liability Insurance Covers defamation or hurting someone's reputation, i.e., wrongful arrests, wrongful evictions, wrongful accusations. Coverage can be found in Personal Lines and Commercial Lines policies.	3. Personal Injury Protection (PIP) Covers medical expenses, loss of income, rehab expenses and provides coverage for funeral expenses, essential services and survivor's income. PIP is found in Personal Auto and Business Auto policies.
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THE BUSINESS AUTO POLICY

POLICY FORMAT

SECTION I - Covered Autos

SECTION II - Liability Coverages

SECTION III - Physical Damage Coverages

SECTION IV - Business Auto Conditions

SECTION V - Definitions

SECTION I - COVERED AUTOS - - HAVE 9 SYMBOLS

#1 - Any auto (broadest coverage).

#2 - Owned Autos Only.

#3 - Owned Private Passenger Autos Only.

#4 - Owned Autos Other Than Private Passenger Autos.

#5 - Owned Autos Subject to No-fault Benefits. (Required in KS)

#6 - Owned Autos Subject to Compulsory Uninsured Motorists Law. (Required in KS)

#7 - Specifically Described Autos Only (most narrow coverage).

#8 - Hired Autos Only.

#9 - Non-owned Autos Only.

Note: Newly acquired autos are automatically covered until the end of the policy term in symbols 1 - 6. If symbol 7 is used, a newly acquired auto will have only 30 days of automatic coverage.

SECTION II - LIABILITY COVERAGE**25/50/25 OR \$75,000 (min. single limit in KS.)**

Designed as a single limit policy but can be endorsed to split limits. Has usual defense & supplementary payments coverage.

INSURED PERSONS

1. The named insured for any covered auto.
2. The owner or anyone else from whom a trailer is hired or borrowed and connected to an auto owned by the named insured.
3. Anyone while using with permission a covered auto owned, hired or borrowed by the named insured.
4. Anyone liable for the conduct of an insured, but only to the extent of that liability.

Coverages available:

1. Collision & upset.
2. Comprehensive (including glass breakage, falling objects, and being struck by birds & animals).
3. Specified causes of loss: 1. Fire, lightning or explosion. 2. Theft. 3. Windstorm, hail, or earthquake. 4. Flood. 5. Mischief or vandalism. 6. Sinking, burning, collision or derailment or any conveyance transporting the covered auto.
4. Towing - Covers towing and/or labor costs incurred each time a covered auto of the private passenger class is disabled. Basic limit is \$25.
5. Coverage Extensions (Transportation Expenses) - \$20/day, \$600 maximum for transportation expenses incurred by you because of loss to the covered auto of the private passenger class. Coverage begins 48 hours after theft.

SECTION IV - BUSINESS AUTO CONDITIONS	
LOSS CONDITIONS	GENERAL CONDITIONS
• Appraisal • Duties of the insured • Legal action against us • Subrogation	• Bankruptcy • Concealment, misrepresentation, or fraud • Liberalization • Other insurance • Premium audit • Policy period, coverage territory • Cancellation & Nonrenewal - <u>Same as personal lines!</u> Can be canceled for ANY Reason - first 60 days, etc.

SECTION V - DEFINITIONS

• Auto - means a land motor vehicle, trailer or semi-trailer designed for travel on public roads but does not include "mobile equipment".

NOTE: "Mobile Equipment" IS covered while it is being carried or towed by a covered auto...FOR LIABILITY ONLY!!

- Covered pollution cost or expense - The cleanup of gas, oil, lubricants, and any other fluids used in the operation of a vehicle that spills in a covered accident ARE covered.
- Hired Auto - a rented or borrowed car.
- Mobile Equipment
- Pollutants - The cleanup of any hazardous material or waste, oil, gas or any other liquids being carried by a vehicle and not used in its operation ARE NOT covered.

ENDORSEMENT

Auto Medical Payments - Provides medical reimbursement for injuries to insured and others in the insureds auto in excess of their own PIP (same as medical under PAP).

Auto insurance: For Dealers, Service Stations, Auto Repair Shops and Parking Garages.

GARAGE LIABILITY: REQUIRED

Dealers Form

Designed for businesses that sell autos.

Covers both owned and non-owned autos on a primary basis.

Service Form

Designed for service stations, repair shops and parking garages.

Covers non-owned autos on a primary basis.

GARAGEKEEPERS: OPTIONAL

Bailee (the business) coverage for damage to vehicles left in the custody of the business for repair or service. Can cover “Collision and Other than Collision” to customer’s vehicle.

Can provide coverage on a primary or excess basis over the customers coverage.

BOATOWNERS/WATERCRAFT

(Similar to auto insurance)

- Liability coverages cover BI and PD to property of others with the same supplementary payments.
- Medical payments provide coverage for the insured and others who are injured while boating.
- Physical damage coverage provides both collision and other than collision coverage after deductibles for the boat, motors, trailer, equipment attached to the boat and other miscellaneous equipment.

NOTE: Lay-up warranties are common in cold weather climates.

1. Complete package policy with few optional coverages
 2. For certain small & medium sized businesses
 3. One Property Coverage Form: Special Form – "All Risk" -OR- "Open Peril
 4. Maximums Allowable: 6 Stories, 100,000 sq. ft. (Not more than 25,000 sq. ft. in any one business), \$3,000,000 in gross receipts
- ELIGIBLE Businesses – Apartments, office & retail establishments, selected processing & service occupancies, & residential & office condominiums.
 - INELIGIBLE Businesses – Bars, grills & restaurants. Condo Associations other than office or residential. Contractors. Places of amusement: carnivals, bowling alleys & theatres. Wholesalers, financial Institutions, Auto dealers, auto repair or servicing.

WHO is Insured?

Named Insureds	Other Insureds
Person or organization shown on the declarations.	Employees within the scope of employment
Sole Proprietor - owner & spouse	Legal representatives
Partnership – each member/owner & spouse	Any person driving mobile equip. with permission
Other Organizations (Corp – Board of Directors)	

BUSINESS OWNER POLICY DEFINITIONS

1. **Business Income Coverage** – Insurance that provides income to a business to cover salaries, payroll & expenses that continue during a business interruption caused by a covered peril.
2. **Period of Restoration** – Time frame which the business income applies; beginning primarily after a direct covered loss occurs & ending when the building is either repaired, replaced, or rebuilt.
3. **Extra Expense Insurance** – Indemnifies the "insured" for expenses incurred when the business temporarily relocates to another location to prevent loss of income because the building has been damaged by a covered peril. Covers rent, cost to recreate documents, books, equipment rental, etc.

(Definitions continued next page)

BUSINESS OWNER POLICY DEFINITIONS

- 4. Reporting Form** – Allows the “insured” to cover fluctuating inventory by reporting to the insurer the amount of coverage needed at regular intervals to lower insurance costs. The “honesty clause” will penalize those who under report. In the event of a loss, the claim payment will be reduced by the percentage of under report.
- 5. Aggregate Limit** – maximum amount the company will pay for all claims on behalf of the insured during the policy period.
- 6. Claim** – Proof of damage.
- 7. Medical Payments to Others** – designed to discourage lawsuits by providing medical expenses regardless of fault.
- 8. Mobile Equipment** – land vehicles, self-propelled or otherwise, usually not licensed for the road. I.e., bulldozers, farm machinery, forklifts & items permanently attached to such equipment. Such as cherry pickers, street cleaning or snow removal, & vehicles that travel on crawler treads.
- 9. Occurrence** – event which caused injury or damage to a person and/or their property.
- 10. Per Occurrence Limit** – maximum dollar amount the policy will pay in damage awards in any occurrence.
- 11. Per Person Limit** – maximum dollar amount the company will pay any one individual on a given claim.
- 12. Supplemental Payments (Additional Liability Coverages)** – pays for defense, investigation & claims costs incurred on behalf of the insured. The insurer also pays for the insured’s lost wages while attending trials or hearings; premiums on bail & appeal bonds & pre/post-judgement interest that may be eventually owed by their insured when the lawsuit is settled. *Supplemental payments are always paid in addition to the limit of liability.
- 13. Territory of Coverage (Commercial Liability)** – usually the U.S., its possessions, Canada & International Water & Airspace. All parts of the world if the injury or damage was caused by products or goods sold in the coverage territory described. Personal & Advertising liability that take place through the internet.

Section I – Property

1. Building(s) RCV – Includes building limit, automatic increase (“inflation guard”) up to a percentage shown on the deck page.
2. Business Personal Property – RCV
3. Peak Season Coverage – 25% automatic increase during seasonal periods at no additional charge.
4. Business Income Coverage – unlimited dollar amount that expires at the expected business continuation date but no more than 12 months.
5. Extra Expense – relocation expenses
6. Outdoor Signs - \$1,000
7. Bailee’s Customer Coverage – customer’s property (Inland Marine)

Optional Coverages

A. Employee Dishonesty (Fidelity Bond)	D. Money & Securities
B. Boiler, pressure vessels & air conditioner (Mechanical Breakdown)	E. Additional outdoor signage
C. Burglary, robbery & theft (See 5.9)	
NOTE: If the building is vacant over 60 days, there is no coverage for theft, vandalism, sprinkler leakage; all other losses are reduced by 15%	

Notice of Cancellation: 10 days’ notice for non-payment of premium

30 Days’ notice for:

- Permanent repairs have not been started or contracted after payment of a claim.
- Outstanding order to vacate, to demolish or declared unsafe
- Fixed & salvageable items are being removed
- Not furnishing water, heat, or electricity for 30 days
- Not paying property taxes for more than 1 year
- Reminder: Commercial lines policies can be cancelled in the first 90 days for any reason & non-renewal notice must be sent within 60 days of the effective date.

Section II – Business Liability

\$300,000/occ.

“Lawsuit Protection”

1. Premises & Operations
2. Personal Injury
3. Advertising Injury
4. Products & Completed Operations
5. Fire Legal Liability
6. Medical Payments to Others – *regardless of fault*



COMMERCIAL GENERAL LIABILITY BASIC HAZARDS



Terms used on both Business Owners & Commercial Package Policy

PREMISES & OPERATIONS – covers for “bodily injury” or “property damage” to people or their property which occurs either at the place of business (premises) or from the type of business conducted (operations). Operations exposure can be on or off the premises, but primarily they are off.

ADVERTISING INJURY – Does not cover for BI/PD – Covers defamation caused to other in the course of advertising a product.

1. Oral or written publication of material that slanders or libels a person or organization. OR violates a person’s right to privacy.
2. Misappropriation of advertising ideas or style of doing business.
3. Infringement of title or slogan.

PERSONAL INJURY – Does not cover for BI/PD – Covers defamation caused to others in the course of advertising a product.

1. Oral or written publication of material that slanders or libels a person or organization. OR violates a person’s right to privacy.
2. Wrongful entry into or eviction of a person from a room dwelling or premises that the person occupies.
3. False arrest, detention, imprisonment & malicious persecution.

FIRE LEGAL (Tenant Liability) – Covers for damage caused by an “insured” to that part of any building leased or rented if it should burn, explode or other stated perils in the policy for which the insured could be held legally liable. The rest of the building would be covered by the “premises” liability coverage.

MEDICAL PAYMENTS TO OTHERS – Pay medical bills of others regardless of negligence to discourage lawsuits. A per person basic minimum limit payable for up to 1 year from the “occurrence.”

PRODUCTS & COMPLETED OPERATIONS

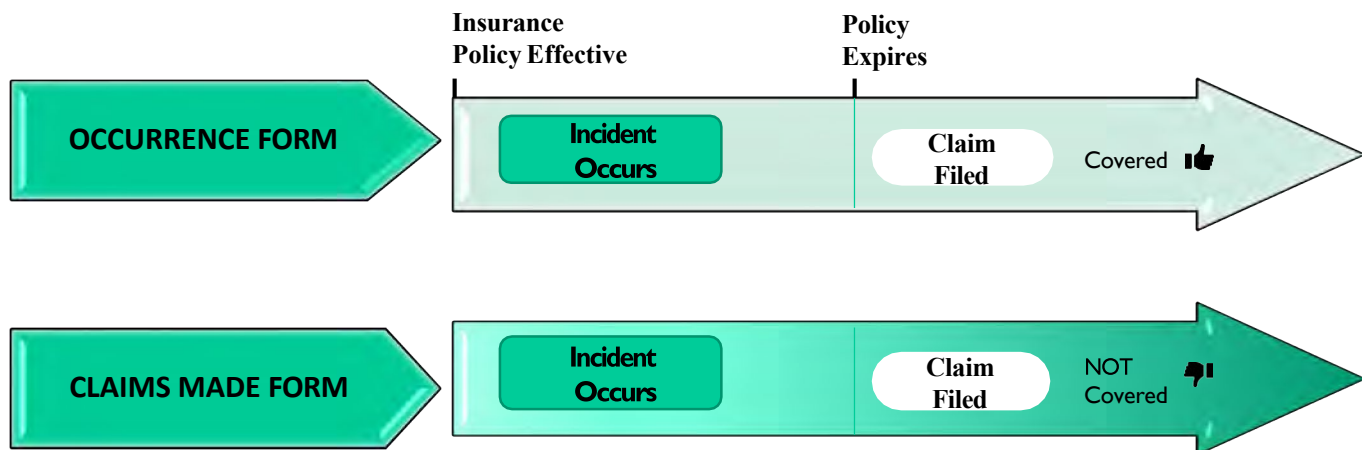
Product Liability – Covers BI/PD caused by a defective product. Does not cover damage to the product itself or the cost to recall the defective product. Lawsuits are usually settled on a “strict liability” basis. To be covered the injury or damage must occur OFF of the business premises (except for restaurants & the product must be under the total control of the customer.

Completed Operations – Coverage after the job is finished. Covers defective workmanship & designs that cause injuries or damages *anytime* in the future. “Insured must have completed the project & left before the occurrence; any injury that occurs before the work is finished is covered under the **OPERATIONS** coverage. Completed operations are always an off-premises exposure.

NOTE: Injuries to employees are covered by **WORKERS COMPENSATION**. Injuries caused by employees to other people that are not employees are covered under the **COMMERCIAL GENERAL LIABILITY POLICY (PREMISES & OPERATIONS)**.

TWO TYPES OF COMMERCIAL GENERAL LIABILITY FORMS

1. **OCCURRENCE FORM:** The OCCURRENCE must occur during the policy period.
The CLAIM can be made any time in the future.
2. **CLAIMS MADE FORM:** The OCCURRENCE must occur during the policy period.
The CLAIM must be made during the policy period.



ENDORSEMENTS AVAILABLE TO THE CLAIMS MADE FORM

1. **RETROACTIVE DATE (RETRO DATE)** - Places a limit on how far into the past coverage is afforded for PRIOR OCCURRENCES (usually the policy inception date, however, could be provided for as far into the past continuous coverage was held).
2. **EXTENDED REPORTING PERIOD (ERPS)** - Used to extend the claim reporting period beyond the policy expiration date.
 - a. **BASIC EXTENDED REPORTING PERIOD:** Will be automatically included at no extra charge. It will be either 60 days or 5 years. After termination of the policy, the 60-day reporting period is in effect for any claim. If the insured reports "occurrences" that took place during the policy period (within the 60-day period) there will be an extended reporting period of 5 years for claims resulting from those reported occurrences only.
 - b. **SUPPLEMENTAL EXTENDED REPORTING PERIOD:** Purchased as an option. Provides an unlimited extension for claims from occurrences that took place during the policy period. Takes effect after the Basic Extended Reporting Period expires.

POLICY CONDITIONS**COMMON POLICY CONDITIONS – Property & Liability**

1. CANCELLATION & NON-RENEWAL
2. CHANGES: Policy terms can only be changed by the insurer in writing via endorsement
3. CONCEALMENT, MISREPRESENTATION OR FRAUD: If committed by an “insured” will void the policy.
4. INSURANCE UNDER TWO or MORE COVERAGES: Insured can collect from all coverages under this policy up to the amount of the loss.
5. LIBERALIZATION: Revisions that broaden coverage without additional premium are automatic.
6. OTHER INSURANCE: The BOP is excess over any other coverage whether you collect or not.
7. PREMIUMS: The “First Named Insured” is responsible for all premiums & will receive all refunds.
8. PREMIUM AUDIT: If a “deposit premium” is collected we will compute your final premium at the end of your policy period.
9. SUBROGATION: Transfer of rights of recovery against others to us.
10. ASSIGNMENT: Cannot transfer without the written consent of the insurer except for death of the “named insured.”

PROPERTY CONDITIONS

1. APPRAISAL
2. DUTIES IN THE EVENT OF LOSS OR DAMAGE
3. LEGAL ACTION AGAINST US
4. LOSS PAYMENT
5. RECOVERED PROPERTY

PROPERTY – GENERAL CONDITIONS

1. MORTGAGE HOLDERS
2. POLICY PERIOD
3. COVERAGE TERRITORY: The U.S., its possessions, Puerto Rico & Canada. *Provided the business personal property is within 100 ft of the business premises

LIABILITY & MEDICAL EXPENSES – GENERAL CONDITIONS

1. BANKRUPTCY
2. DUTIES IN THE EVENT OF OCCURRENCE CLAIM OR SUITE
3. LEGAL ACTION AGAINST US
4. COVERAGE TERRITORY: The U.S., its territories & possessions, Puerto Rico, Canada & International Waters & Airspace between the coverage territory.

➤ Customizable package policy (not a package policy) & for larger businesses.

4 Essential Elements	
➤ Common Policy Declarations Page	➤ Common Policy Conditions
➤ Interline Endorsements	➤ Coverage Parts

➤ **COMMON POLICY DECLARATIONS**

1. Company Name/Named Insureds. *The first name listed has the “First Named Insured” duties
2. Company Address
3. Policy Period (date & time)
4. Producer/Insurer
5. Described Premises
6. Mortgage Holder
7. Description of Business
8. Premiums for each coverage part, total premium, & due date
9. List of all forms for each coverage part

- **COMMON POLICY CONDITIONS**
1. Cancellation
 2. Changes
 3. Premiums
 4. Examination of books & records
 5. Inspections & surveys
 6. Assignment
 7. First Named Insured *may cancel, make changes, receives bill & premium refund

- **INTERLINE ENDORSEMENTS**
1. As needed

➤ **COVERAGE PARTS**

Refer to “Basic Hazards”
Page 5.4

Coverage Parts			
COMMERCIAL PROPERTY Declarations Page	COMMERCIAL INLAND MARINE Declarations Page	COMMERCIAL GENERAL LIABILITY Dec Page	COMMERCIAL CRIME Declarations Page
Commercial Property (‘02) Forms	Commercial Inland Marine	Commercial General Liability (‘04)	Commercial Crime (‘02) Forms
• Insured chooses Basic, Broad or Special • Building & Business Personal Property • Builders Risk – Physical Coverage • Business Income • Extra Expense	• Accounts Receivable • Commercial Articles • Contractors Equipment Floater • Electronic data Processing • Installation Floater • Signs • Valuable Papers & Records	• Coverage A: Bodily Injury & Property Damage • Premises & Operations • Products & Completed Operations • Coverage B: Personal & Advertising Injury • Coverage C: Medical Payments	• Employee Theft (Fidelity Bond) • Inside the Premises Theft of Money & Securities • Inside the Premises – Robbery or Safe Burglary of Other Property • Inside the Premises – Robbery or Burglary of Other Property

Inland Marine is property insurance on certain kinds of property and is almost always written on a special form basis.

- **STATE LAW LIMITS THE KINDS OF PROPERTY THAT CAN BE INSURED BY INLAND MARINE FORMS TO THREE CATEGORIES LISTED BELOW.** Note: Real Property (Real Estate) and contents of the building cannot be insured using Inland Marine policies and forms.
The use of Inland Marine Insurance is restricted because the Insurance Department does not have as much control over the rates and policy language as they do on other insurance policies.
- **PERSONAL INLAND MARINE** - Another category of property that can be insured by inland marine is Personal Article Floaters. Can be used for guns, jewelry, furs, etc.

Floater - property of a movable nature.

Inherent Vice - the process by which property naturally destroys itself over a period of time, i.e. rust damage to metal.

Exclusions: War, Nuclear, Wear & Tear, Deterioration, Inherent Vice, Insects or Vermin.

KSA 40-3-22 Inland Marine may not insure: merchandise held in storage, merchandise during manufacture, furniture, fixtures or other building improvements or money and securities stored in safes, vaults and safety deposit vaults at any bank or on the insured's premises or being transported.

COMMERCIAL INLAND MARINE INSURANCE		
UNIQUE & UNUSUAL	PROPERTY BEING TRANSPORTED	VALUABLE
INSTRUMENTS OF COMMUNICATION & TRANSPORTATION •Bridges, tunnels, docks •Piers & pipelines •Towers •Power transmission lines •Radio & television communication equipment •Usually requires 100% co-insurance & has very high deductibles	DOMESTIC SHIPMENTS & TRANSPORTATION FLOATERS •Covers property being shipped domestically by truck, rail or air. •<i>Business personal property is not covered when it is more than 100 feet from the premises whether in a truck or not</i>	COMMERCIAL PROPERTY FLOATERS •Can be issued as a “mono-line” policy or packed as part of the CPP Coverage Classes: 1. Accounts Receivables 2. Commercial Articles 3. Contractor equipment floater 4. Electronic data processing 5. Installation floater 6. Signs 7. Valuable papers & records 8. Bailee’s Customer Coverage – for items in the care, custody & control of the business. (i.e. Dry cleaners)

COMMERCIAL CRIME ('02) COVERAGE FORMS
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CRIME DEFINITIONS

BURGLARY - taking of property with evidence of forced entry into or out of a premises or safe. (After hours, no people are present)

ROBBERY - taking of property by causing or threatening bodily harm. (During hours, people are present)

THEFT - any act of stealing. (Best crime coverage.)

EXTORTION - the surrender of property away from premises as a result of a threat to harm you, an employee or a relative who is being held captive.

PILFERAGE - stealing small amounts, petty crime.

FORGERY AND ALTERATIONS - process of making, adapting, or imitating objects, statistics, or documents with the intent to deceive.

CUSTODIAN - you (insured), a relative of yours, any of your partners or "members" or any employee while having care, custody of property inside the premises, excluding any person acting as watchperson or janitor.

MESSENGER - you (insured), a relative of yours, any of your partners or "members" or any employee while have care and custody of property outside premises.

MYSTERIOUS DISAPPEARANCE - property is missing but there no evidence that a crime has occurred.

WATCHPERSON (GUARD) - any person you retain specifically to have care and custody of property inside the premises and has no other duties.

CRIME COVERAGES

- **EMPLOYEE DISHONESTY (FIDELITY BOND)** - Covers employees' dishonest acts. Coverage ends for an employee after a dishonest act has been discovered. Discovery period allows the business owner 2 years to discover if a past employee had taken any money or property.

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